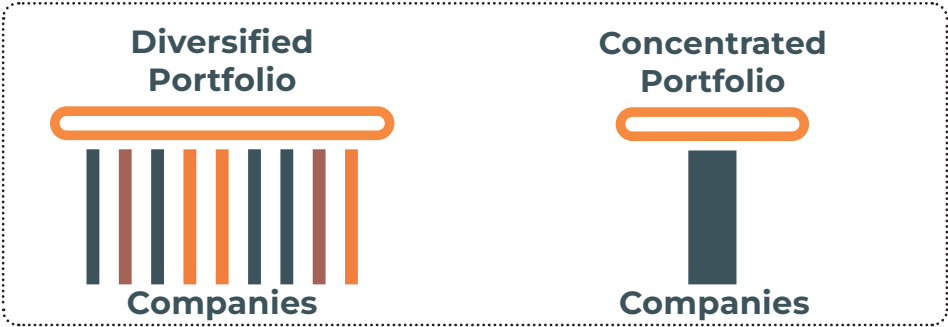


# How Diversification Works?



Consider individual stocks as pillars. The overall structure's reliance on each pillar is low and is evenly distributed. Now, what if one of the pillars develops cracks or collapses?

Although there will be significant damage in and around the location, the building's dependency on the individual pillar is not much and thus the whole structure is unlikely to collapse.

When we have a concentrated portfolio, the overall structure relies on a single pillar. Now, what would happen if something wrong happened with this pillar? The entire structure will collapse.

Similarly, in a concentrated portfolio, we have a high reliance on a few stocks. One news not in our favour, the entire portfolio suffers a significant loss. There is little room for a concentrated portfolio.

Since we as retail investors face some disadvantages when compared to institutional investors, we will seek diversification over concentration while building our portfolio to avoid risk of portfolio ruin.

